D06 · Network Design & 3PL Management

# 03 · Logistics KPIs, benchmarking & performance dashboards

Supply Chain Reference Architecture v2.2 · mrsupplychain.ai

## 1 WHAT IT IS

The logistics KPI system defines a small set of metrics by level — operational, tactical, strategic — with clear definitions, owners and targets, and compares them with internal history and external benchmarks.

## 2 WHY IT MATTERS

Without common definitions, every area reports its own OTIF and its own freight cost, and leadership meetings become arguments about numbers. **A single, governed metric set — anchored on perfect order and cost-to-serve — turns those meetings into decisions.** The SCOR reference model offers a standard vocabulary for these metrics **(ASCM — SCOR Digital Standard)**.

## 3 HOW IT IS DONE

1. **Define each KPI once.** Formula, data source, owner and target, documented and agreed.
2. **Tier the metrics by audience.** Daily execution, monthly management and quarterly strategic views.
3. **Anchor on outcomes.** Perfect order rate for service; cost-to-serve and logistics cost as % of revenue for economics.
4. **Benchmark and act.** Compare with peers and history, and attach an owner and action to every gap.

### IN PRACTICE

**Design KPIs for decisions, not for reporting volume**

If a metric does not change a decision or trigger an action, question why it is on the dashboard.

**Adopt Perfect Order Rate as the primary service metric**

It prevents the classic trap of optimizing on-time delivery while destroying in-full or damage performance.

**Always maintain a financial translation layer**

Operational excellence that cannot be expressed in cost, cash or customer impact struggles to attract investment.

### ILLUSTRATIVE CASE

*Illustrative case built from typical industry values — not data from a specific company.*

**Illustrative case — Company with 40+ logistics reports and no single version of truth** — Leadership regularly received conflicting numbers on OTIF and freight cost.

| Action | Result |
|---|---|
| Defined a three-level KPI framework with clear owners | Eliminated competing definitions of OTIF and cost |
| Built one operational + one executive dashboard | Reduced reporting effort ~40% while improving clarity |
| Added Perfect Order Rate and Cost-to-Serve | Shifted conversation from activity metrics to outcomes |
| Instituted quarterly external/internal benchmarking | Identified two structural gaps previously invisible |

**Result:** Within two quarters the leadership conversation moved from debating whose numbers were correct to deciding which gaps to close first.

### HOW IT IS MEASURED

**Perfect Order Rate %**

(Orders that are on time, in full, damage-free and correctly documented / Total orders) × 100

*Benchmark: World-class operations target mid-to-high 90s; most companies start materially lower*

**Logistics Cost as % of Revenue / Cost-to-Serve**

Total logistics cost relative to revenue and fully-loaded cost per order or per customer

*Benchmark: Industry and channel dependent; trend and peer comparison matter most*

**WHAT YOU WOULD USE**

**Logistics Performance Management**

**Power BI / Tableau / Looker** — Primary tools for operational and executive logistics dashboards.

**Control tower and TMS analytics modules** — Provide the granular event data that feeds higher-level KPI systems.

## 4 SO WHAT

**Fewer metrics, one definition each, tied to decisions.** Tier by audience, anchor on perfect order and cost-to-serve, and benchmark to find the gaps worth closing.

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